



Management Science

Publication details, including instructions for authors and subscription information:
<http://pubsonline.informs.org>

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To cite this article:

Meng Li, Jedson Pinto (2025) How Does Going Public Affect Employee Satisfaction? Evidence from Glassdoor Reviews. Management Science

Published online in Articles in Advance 22 Sep 2025

. <https://doi.org/10.1287/mnsc.2023.04285>

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How Does Going Public Affect Employee Satisfaction? Evidence from Glassdoor Reviews

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Received: December 28, 2023

Revised: November 7, 2024;
January 21, 2025

Accepted: March 15, 2025

Published Online in *Articles in Advance*:
September 22, 2025

<https://doi.org/10.1287/mnsc.2023.04285>

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Abstract. We examine how initial public offerings (IPOs) influence employees' satisfaction with their employers. Using millions of company reviews and a generalized difference-in-differences method, we document that employees become less satisfied after their employers go public. The effect is driven by employees who joined the company before the IPO rather than those who joined after it and is stronger for employees whose tasks relate to regulatory compliance, for smaller firms, and firms with Big 4 auditors at the IPO. The effect is weaker for IPO firms in industries with low environmental, social, and governance (especially social) reputation risk. Using the 2012 Jumpstart Our Business Startups Act to explore changes in regulatory burdens associated with an IPO, we find that the adverse effect of an IPO on employee satisfaction is weaker for IPO firms that benefit from reduced regulatory burden. Overall, our findings provide novel insights into how going public can affect employee welfare and one potential mechanism behind this effect.

History: Accepted by Suraj Srinivasan, accounting.

Supplemental Material: The data files are available at <https://doi.org/10.1287/mnsc.2023.04285>.

Keywords: regulatory burden • IPO • compliance costs • human capital

1. Introduction

Employees are deemed the most important component of modern companies with surveys indicating that the attraction and retention of qualified human capital is a top issue for CEOs around the globe.¹ Despite the widespread belief that human capital plays a central role in creating firm value, little is known about how business organizational forms affect employee well-being. In this study, we aim to fill this gap by examining how a firm's becoming publicly traded (via an initial public offer (IPO)) affects employee satisfaction.

An IPO is one of the most important events in a firm's life cycle. After going public, firms gain access to substantial equity capital, which can help them expand their operations, invest in new technologies, and compete in new product markets (Bernstein 2015, Dobridge et al. 2021, Babina et al. 2025). Issuing capital for the first time also attracts significant attention from investors, analysts, media, competitors, and regulatory bodies. These changes are likely to influence how the firm operates, employees' routines, and ultimately employees' satisfaction with the company.

Importantly, firms that go public are required to comply with a plethora of new regulations, which are likely to result in both monetary (Protiviti 2021, Ewens et al. 2024) and nonmonetary costs (IPO Task Force

2011, Protiviti 2021). For example, public firms are required to comply with the Sarbanes-Oxley Act (SOX), and this forces them to establish internal controls and procedures and to document, test, and maintain those controls and procedures to ensure their effectiveness.² Consistent with SOX being costly, a survey by Protiviti indicates that an average public firm spends not only millions of dollars but also hundreds of hours every year just to comply with SOX.³ SOX is only one of the regulatory requirements imposed on public firms. Another key regulatory difference between public and private firms relates to financial reporting. Unlike private firms, public firms are required to file both quarterly and annual financial statements with the Securities and Exchange Commission (SEC) and must follow numerous additional financial reporting standards. The SEC estimates that, as of April 2021, public firms spend 14.2 million hours preparing annual reports every year.

Anecdotal evidence also supports the notion that regulatory requirements have far-reaching consequences for firms, and this could potentially negatively affect employees' satisfaction with their jobs. For instance, Peter Bible, chief accounting officer at General Motors Corporation, notes that "the real cost isn't the incremental dollars, it is having people that should be

focused on the business focused instead on complying with the details of the rules.”⁴ Therefore, we conjecture that the increase in regulatory costs associated with becoming a publicly traded company might negatively affect employee satisfaction.

On the other hand, there are several reasons why employee satisfaction could increase after firms go public. First, employees could receive financial gains after firms go public. Employees who join companies early and receive equity compensation often experience substantial financial gains when their companies go public. For example, more than 1,000 Facebook employees became millionaires overnight following their company’s IPO (Booton 2012).⁵ Second, with the influx of capital and resources after IPOs, the company may expand and create new positions, and this provides opportunities for ambitious employees to advance in their careers. For example, the number of employees at Zoom, Inc., more than doubled within two years after its IPO in 2019.⁶ Third, firms could engage in employee advocacy efforts before the S-1 filing. Witnessing their company succeed and gain public recognition can instill a sense of pride and accomplishment in employees during the IPO process (Wells 2017).⁷

One important limitation in examining how becoming a publicly traded firm affects employee satisfaction is the lack of large-sample data on employee satisfaction across firms and over time.⁸ In this paper, we overcome this limitation by using 3,714,680 firm reviews by current employees from May 2008 to December 2022 on Glassdoor.com (Glassdoor hereafter). Glassdoor is both a popular job site and a social media platform on which employees can share company reviews. Glassdoor users provide an overall company rating as well as optional ratings of senior management, career opportunities, compensation and benefits, work–life balance, culture and values, whether they approve of the company CEO, and whether they would recommend the employer to a friend. Important to our study is the fact that Glassdoor contains reviews for both private and public firms in a time series. Hence, we can observe how employee satisfaction changes as a firm goes public. We use the overall rating as our main construct of employee job satisfaction. To take advantage of the granularity of the Glassdoor data and mitigate concerns about correlated omitted variables, we conduct our analyses at the review level without aggregating them to the firm-year or firm-quarter level.⁹

Our univariate analyses show that employee satisfaction is significantly lower for public firms than for private firms. The average overall rating is 3.74 for public firms but 3.94 for private firms, a 5.3% difference. Differences in employee job satisfaction are present for all the component ratings on Glassdoor. The two biggest differences in employee satisfaction between public and private firms are in senior management (10.0%)

and work–life balance (6.6%) with the ratings being higher for private firms in each case. These results suggest that employees are less satisfied in public companies than in private ones; however, they are silent regarding whether the differences in employee satisfaction are linked to the process of becoming a publicly traded company. We address this matter in our multivariate analyses.

In our multivariate analyses, we estimate a generalized difference-in-differences model to examine whether the process of becoming a publicly traded company influences employee satisfaction.¹⁰ In our sample, we include both public and private firms with reviews on Glassdoor. Our group of interest comprises firms that engage in an IPO in the United States.¹¹ Our control group is made of employee reviews from firms that remain private throughout our sample period and pre-IPO reviews from firms that undergo an IPO during our sample period.¹² We find that the overall rating significantly decreases after firms go public compared with similar firms in our control group.¹³ Furthermore, we find no statistical difference in overall ratings between private and pre-IPO firms. We also find no evidence of any pretrends in employee satisfaction in the years (or months) before the IPO. Collectively, these results alleviate concerns that (i) the public firms in our sample are inherently different from the private firms even before the IPO and that (ii) firms strategically inflate their ratings before their IPOs.

We find that the effects of going public on employee satisfaction vary systematically across employees, firms, and industries. The adverse effect is mainly driven by employees present before the IPO and those bearing more regulatory burdens (e.g., in managerial and compliance roles), supporting our regulatory burden mechanism. Further corroborating this explanation, we also find that the negative effects of a IPO are stronger for smaller firms, which face greater relative regulatory burdens (Ewens et al. 2024), and for firms with Big 4 auditors, which exert greater scrutiny over compliance. Importantly, we find that industry-level environmental, social, and governance (ESG) factors moderate these effects. Firms in industries with low ESG reputation risk, particularly low social (S) risk, experience a mitigated negative impact on employee satisfaction post-IPO. This suggests that robust ESG practices may help buffer the challenges of transitioning to public ownership.

In terms of economic magnitude, employee satisfaction in IPO firms, on average, decreases by 0.072 after IPOs compared with the control group. This decline represents approximately 5.6% of the standard deviation of employee satisfaction for private firms in our sample. Whereas this magnitude is relatively small in the context of ratings on a one to five scale, it is comparable to other Glassdoor studies (e.g., Ji et al. 2022,

Teoh et al. 2023). Moreover, we identify circumstances in which the impact is more pronounced. For example, employee satisfaction in IPO firms in industries with high social reputation risk decreases by 0.12, which is 9.3% of the standard deviation of employee satisfaction for private firms; the job satisfaction for employees in management or compliance-related positions decreases by 0.18 after IPOs, and this is 14.3% of the standard deviation of employee satisfaction for private firms.

As a final test and to better identify whether regulatory burden is a key mechanism behind the adverse effect of going public on employee satisfaction, we utilize the 2012 Jumpstart Our Business Startups (JOBS) Act as an exogenous shock to IPO firms' regulatory burden (Dambra and Gustafson 2021, Pinto 2023, Ewens et al. 2024). The JOBS Act created a new group of firms—emerging growth companies (EGCs)—for which the requirements surrounding first time equity issuance were reduced. Accordingly, we study whether going public affects EGC employees differently than non-EGC employees. (The non-EGCs could have been EGCs but went public prior to the enactment of the JOBS Act.) We find that the negative effect of going public on employee satisfaction is significantly lower for EGCs than for non-EGCs, consistent with our conjecture that the regulatory burden imposed on public firms is a critical reason for the post-IPO decline in employee satisfaction.

Our study provides several new insights. First, it adds to an emerging literature on how employee satisfaction responds to companies' news or events. Lee et al. (2021) document that employee satisfaction decreases after tax avoidance news. Teoh et al. (2023) find that employees become less satisfied when their employers, which are public companies, commit fraud. Hilary et al. (2025) show that employee satisfaction increases when companies meet or marginally beat analysts' forecasts. We add to this literature by showing that employee satisfaction changes when companies shift their business organizational forms.

Second, our study extends the literature on the impact of IPOs. Prior literature examines the effects of IPOs in areas such as innovation, tax planning, and employment (Bernstein 2015, Dobridge et al. 2021, Babina et al. 2025). We are among the first to study the impact of IPOs on employee welfare. Using a sample of just a few hundred firm-year observations, Guiso et al. (2015) find that public firms have worse corporate culture than private firms as reflected in employee perceptions of lower managerial integrity and lower managerial ethics. Using a significantly larger sample of firms across a broader sample period, we complement the findings of Guiso et al. (2015) by showing that becoming a publicly traded company affects various aspects of employee satisfaction. We also extend Guiso et al. (2015) by shedding light on the effect of regulatory costs on public firms' employee satisfaction.

Finally, our paper contributes to the literature on the regulatory costs of public firms. Prior literature examines the consequences of compliance costs on firms' decisions. For example, Kim (2021) documents that compliance costs associated with regulations have first order effects on firms' investment decisions. To the best of our knowledge, we are the first to show that regulatory burden negatively influences employee satisfaction. Our study also provides new findings associated with the JOBS Act. Whereas prior studies document significant costs associated with the reduced mandatory disclosure requirements under the act (Barth et al. 2017, Chaplinsky et al. 2017), our study suggests that the JOBS Act can benefit firms by reducing the regulatory burdens on employees. Note that we do not claim that regulatory costs are the only mechanism contributing to the decrease in employee satisfaction; rather, they are an important and overlooked one. Our results should be of interest to both academics and regulators who aim to understand how companies' regulatory requirements affect human capital.

Our study is not without caveats. First, Glassdoor reviews are voluntary. To the extent that the reviews are not representative of all employees, our results should be interpreted with caution. Second, there could be various factors contributing to the decline in employee satisfaction post-IPO. In this paper, we focus exclusively on one mechanism—regulatory costs—and leave the exploration of other mechanisms for future research. Third, correlated omitted variables may exist that impact both a firm's decision to go public and the decline in employee satisfaction. Whereas we employ various control variables and fixed effects to mitigate endogeneity concerns and leverage the JOBS Act as an exogenous shock to isolate one mechanism contributing to the decline in employee satisfaction, the possibility of correlated omitted variables influencing our results cannot be entirely ruled out. Finally, whereas we observe a general decline in employee satisfaction after IPOs, this does not imply that companies should avoid going public because of concerns about employee morale. Firms must weigh this potential cost against the benefits of going public, such as increased access to capital and greater visibility.

2. Related Literature

Human relations theories view employees as key organizational assets who can create substantial value by inventing new products or building client relationships. Employee satisfaction can improve retention and motivation and, therefore, is important for firms' long-term performance. For example, Edmans (2011) finds that firms with more satisfied employees have higher long-run stock returns. Green et al. (2019) find that increases

in employee satisfaction predict improvements in future operational performance and future stock returns. Indeed, a striking majority (92%) of the senior executives surveyed by Graham et al. (2022) believe that improving corporate culture and values could increase firm value. Despite the widespread belief that human capital plays a central role in creating firm value, little is known about what shapes corporate norms and affects employee welfare. In this study, we aim to fill this gap by exploring how firms' becoming publicly traded affects employee satisfaction.

The IPO process typically spans several months with the most critical phase beginning after the S-1 filing (Lowry et al. 2017). The S-1 filing, which contains detailed information about the company's business, financials, and risks, marks the official start of the public phase of the IPO process (Hanley and Hoberg 2010). After filing, the SEC reviews the document, a process that can vary significantly in duration and complexity. Whereas straightforward cases might be resolved in 30–90 days, more complex situations can extend this phase to three to six months or even longer. The review often involves multiple rounds of comments and revisions with the number and depth of these rounds directly impacting the timeline.

Once the SEC review is complete and the S-1 is declared effective, the company enters the marketing phase. This includes preparing for and conducting the roadshow, which can last one to four weeks, depending on factors such as investor interest, geographic scope, and market conditions (Krigman et al. 2001). During the roadshow, company executives and underwriters present to potential investors.

The variability in both the SEC review and the marketing phase contributes to the overall timeline of the IPO process, which can range from as short as three months for straightforward cases to as long as nine months for more complex situations or in challenging market conditions (Boeh and Dunbar 2014).

Prior studies document that becoming a publicly traded company has significant effects on corporate innovation, employment, and tax planning (Bernstein 2015, Dobridge et al. 2021, Babina et al. 2025) as these are likely to affect human capital. For example, Bernstein (2015) finds that, after an IPO, the quality of internal innovation and the productivity of inventors who stay at the firm decrease. The author also finds that firms try to balance the drop in innovation by attracting new human capital and external innovation. Using U.S. Census data, Babina et al. (2025) find that IPO-filing firms employ primarily high-skill workers and that post-IPO hires benefit from larger wage changes. Similarly, Baghai et al. (2025) find that post-IPO, firms attract and retain more expensive and skilled workers. Together, these studies suggest that going public significantly alters the composition of a firm's human capital,

which, in turn, could affect the company's culture and employee satisfaction.

An important but unexplored reason why going public could affect employees is the increased regulatory burden. Firms that go public must comply with an array of regulatory frameworks, including financial reporting standards, the Sarbanes–Oxley Act, the Securities Act, the Dodd–Frank Wall Street Reform and Consumer Protection Act, Corporate Governance Guidelines, and Regulation Fair Disclosure. These regulations impose not only direct compliance costs but also indirect costs, such as proprietary costs and the diversion of managerial attention (Leuz and Wysocki 2016). Consistent with the idea that regulations have broad consequences for companies, Protiviti (2021) finds that an average public firm spends millions of dollars and hundreds of hours every year on SOX compliance. In a recent paper, Ewens et al. (2024) estimate that the regulatory net costs for a median U.S. public firm vary from 2.1% to 6.3% of the firm's market capitalization.

In response to the increased regulatory burden for publicly traded companies, the SEC passed the 2012 Jumpstart Our Business Startups Act. The goal of the JOBS Act is to make it easier for small private firms to go public, and this was done by eliminating several disclosure and regulatory requirements associated with being publicly traded.¹⁴ To qualify for the JOBS Act, firms must have gross revenues of less than \$1 billion during the most recent fiscal year ending before the IPO. Firms that adopt the provisions of the JOBS Act are called EGCs. The JOBS Act's relaxation of disclosure and internal control requirements was met with great enthusiasm by the qualifying firms. For example, almost 100% of the EGCs postponed compliance with SOX (Barth et al. 2017), one of the costliest regulations for public firms. Several studies document significant consequences associated with the JOBS Act. In addition to lower regulatory costs, they report increases in (i) information asymmetry between firms and investors, (ii) IPO underpricing, (iii) learning from external market participants, and (iv) investments (Barth et al. 2017, Dambra and Gustafson 2021, Pinto 2023, Ewens et al. 2024). We extend this literature by examining how the burden of being a publicly traded company affects employee satisfaction.

Our study is related to Guiso et al. (2015), who examine differences in corporate culture between public and private firms. Utilizing survey responses of employees interviewed by the Great Place to Work Institute, the authors find that public firms have worse corporate culture values as measured by levels of integrity. Our study differs from theirs in several important ways. First, our data set allows us to explore whether going public affects not only corporate culture but also other dimensions of employee welfare, such as career

opportunities, compensation and benefits, and work–life balance. Second, whereas Guiso et al. (2015) examine the differences in corporate culture between public and private firms in general, we compare a large sample of firms before and after they went public. Our generalized difference-in-differences method allows us to better understand how going public results in changes in employee satisfaction. Third, our data set includes granular information about the firm and employees, which allows us to better identify the mechanisms that underlie the IPOs' effects on employee welfare.

3. Sample and Research Design

3.1. Glassdoor Data

Launched in 2008, Glassdoor is a social media platform on which current and former employees post reviews about employers.¹⁵ As of December 2022, more than seven million reviews by current employees on 686,792 U.S. entities had been posted.¹⁶ At least three features of Glassdoor suggest that its reviews reasonably accurately represent employee views (Huang et al. 2020). First, the reviews are anonymous, so employees can express their opinions without fear of retaliation from their employers. Second, under the give-to-get policy, employees obtain access to other reviewers only if they provide reviews themselves.¹⁷ Marinescu et al. (2018) suggest that this policy encourages individuals who hold moderate opinions to post reviews, which alleviates polarization bias. Third, a content team at Glassdoor identifies and removes any reviews that it determines employees were forced or paid to write by their employers. In sum, these Glassdoor features suggest that employees can be truthful in their reviews and that any gaming or abuse by employers is minimized.¹⁸

3.2. Sample

We obtained a comprehensive list of employee reviews from May 2008 to December 2022 from Glassdoor. We only include reviews by current employees because former employees are no longer part of the corporate organization. We merge Glassdoor data with the Compustat universe (using both ticker symbols and company names) to obtain information for public companies. We gather IPO data from Compustat and Jay Ritter's website.¹⁹ We obtain S-1 filing dates from Audit Analytics as IPO event dates. Whenever S-1 filing dates are not available, we use the first trading date as the IPO event date.

Table 1 reports the sample selection procedure and attrition rate. After deleting entities that are neither private nor public firms and firms with only one employee review, we are left with 3,714,680 reviews from Glassdoor for the years 2008–2022. These reviews are from 1,928 public firms and 190,984 private firms.

To exploit the granularity of the Glassdoor data and mitigate concerns about omitted correlated variables, we conduct our analyses at the review level without aggregating them to the firm-year or firm-quarter level. For example, in our data, we observe reviews for employees who work at Wells Fargo across multiple states, years, job positions, and employment lengths. This allows us to estimate models that include not only firm fixed effects but also state, job title, and employment length fixed effects. Ultimately, this feature allows us to parse out various components that might affect employee satisfaction (such as geographical location, firm time-invariant policies, job title time-invariant aspects, and tenure). This parsing, in turn, helps us better identify the effects of going public on employees' welfare. We discuss them in more detail below.

3.3. Research Design

Because IPOs occur at different times for different firms, we examine how going public affects employee welfare by estimating the following generalized difference-in-differences model (Bertrand et al. 2004, Armstrong et al. 2012, Bourveau et al. 2018):²⁰

$$\begin{aligned} Sd_OverallRating_{ijt} &= \beta_1 PostIPO + \sum \beta_n Controls_n \\ &+ \sum Firm\ FE + \sum Time\ FE + \sum State\ FE \\ &+ \sum JobTitle\ FE + \sum Employment\ Length\ FE + \epsilon_{ijt}. \end{aligned} \quad (1)$$

Our dependent variable is standardized overall employee satisfaction ($Sd_OverallRating$), calculated as the overall rating of a given review minus the sample mean and then scaled by the sample standard deviation.²¹ Our main variable of interest is $PostIPO$, an indicator variable equal to one for employee ratings made after a firm goes public and zero otherwise. Therefore, $PostIPO$ equals zero for ratings made for IPO firms in the time period before the IPO. For firms that remain public (private) throughout our sample period, $PostIPO$ always equals one (zero).²² We include all firms, both public and private, with reviews on Glassdoor during our sample period. This approach ensures the broadest possible coverage of firms. We find similar results if we restrict our sample by (i) deleting firms that remain private throughout our sample, (ii) deleting firms that engage in an IPO before our sample period starts, or (iii) deleting both firms in conditions (i) and (ii) and focusing only on firms that engage in an IPO during our sample period.

Our empirical strategy is designed to capture the effects of the entire IPO process on employee satisfaction as described in Section 2. By using the S-1 filing date as the cutoff for $PostIPO$, we capture potential impacts from increased scrutiny, organizational

Table 1. Sample Selection

Glassdoor observations		Observations	Unique firms
(–)	Reviews from current employees 2008–2022	7,167,514	686,792
	Deleting firms that are not public or private (colleges, private_practice, unknown, college, contract, school, self-employed, others)	3,964,168	398,352
(–)	Deleting firms with only one review	3,714,680	192,912
		Unique private firms	190,984
		Unique public firms	1,928

changes, and heightened pressure that may occur throughout the IPO process. This design choice aligns with the literature suggesting that significant changes in firm behavior and stakeholder perceptions can begin as early as the S-1 filing (Bernstein 2015, Blankespoor et al. 2017).

We control for employees' gender, job status, and education because prior research indicates that employee characteristics are associated with job satisfaction (Teoh et al. 2023). Specifically, *I_Female* is an indicator variable for female employees,²³ *I_Regular* is an indicator variable for full-time employees, and *I_CollegeOrHigher* is an indicator variable for employees with a college degree or higher.²⁴ We include firm fixed effects to control for differences in average *Sd_OverallRating* across our sample firms and to eliminate the need to include identifiers for each group of treatment and nontreatment firms. Year fixed effects eliminate potential time trends in employees' reviews. State fixed effects control for unobserved heterogeneity across employees' geographic locations. Job title fixed effects and employment length fixed effects control for heterogeneity across employees with different job titles and employment lengths.²⁵ The coefficient on *PostIPO* is our difference-in-differences estimate. It captures the average effect of going public on employee satisfaction for the treatment group relative to the control group for employees in the same state and with the same job title and employment length.

3.4. Summary Statistics

Table 2 presents summary statistics of overall rating and several dimensions of employee satisfaction for public and private firms. In panel A, we present the mean, standard deviation, and median of the overall rating and several dimensions of employee satisfaction. We observe striking differences across employee satisfaction for public and private firms. Relative to private firms, public firms have a lower average overall rating (*OverallRating*) and lower ratings of senior management (*SeniorLed*), culture and values (*Culture*), work–life balance (*Worklife*), career opportunities (*CareerOpp*), and compensation and benefits (*CompBenef*). The summary statistics suggest that employees in public firms are less satisfied than their counterparts in private firms.

In panel B, we present the correlation between all variables. We observe that all dimensions of employee satisfaction are positively correlated with each other. For example, *OverallRating* has a positive and significant correlation with *SeniorLed* (0.84) and *Culture* (0.84), suggesting that employees who are generally satisfied with their companies also have good impressions of the firm's senior management and culture and values. More importantly, we observe a negative and strong relation between being a publicly traded company and all dimensions of employee satisfaction, which again suggests that employees in public companies are less satisfied with their employers than employees in private companies.

We formally test whether the average levels of employee satisfaction are different in publicly traded companies than in privately held companies with the results presented in Table 3. We find that all dimensions of employee satisfaction are significantly greater for private firms than for public firms. For example, the average *OverallRating* is 3.74 for public firms but 3.94 for private firms, a 5.3% difference. The two biggest differences in employee satisfaction between public and private firms are in *SeniorMgmt* (10.1%) and *Worklife* (6.8%) with the ratings being higher for private firms in each case. These results expand on the univariate analysis of Guiso et al. (2015), who find that public firms have lower levels of integrity than private firms. We extend their findings to a much larger sample and a longer time period. Furthermore, our results suggest that employees at public firms are less satisfied than employees in private firms across multiple dimensions. Whereas our univariate analyses help us provide a straightforward picture of the differences between public and private firms, they do not speak to whether the difference is attributable to the process of going public. We address this matter in our multivariate analyses in the next section.

4. Empirical Results

4.1. Main Results

Our univariate analyses point to significant differences in employee satisfaction across public and private firms. In this section, we explore whether the process of going public results in the observed differences in employee satisfaction. As mentioned in Section 3, we explore this

Table 2. Descriptive Statistics

Panel A: Summary statistics by firm type									
	Private firms			Public firms			Full sample		
	Mean	Standard deviation	Median	Mean	Standard deviation	Median	Mean	Standard deviation	Median
OverallRating	3.935	1.29	4.00	3.739	1.24	4.00	3.902	1.29	4.00
SeniorMgmt	3.700	1.46	4.00	3.365	1.42	4.00	3.644	1.46	4.00
Culture	3.930	1.39	5.00	3.713	1.38	4.00	3.895	1.39	5.00
Worklife	3.787	1.34	4.00	3.552	1.34	4.00	3.748	1.35	4.00
CareerOpp	3.751	1.39	4.00	3.556	1.33	4.00	3.718	1.38	4.00
CompBenef	3.671	1.30	4.00	3.594	1.25	4.00	3.658	1.29	4.00

Panel B: Correlation matrix							
	(1)	(2)	(3)	(4)	(5)	(6)	(7)
(1) <i>I_Public</i>	1.00						
(2) <i>OverallRating</i>	−0.06***	1.00					
(3) <i>SeniorMgmt</i>	−0.09***	0.84***	1.00				
(4) <i>Culture</i>	−0.06***	0.84***	0.84***	1.00			
(5) <i>Worklife</i>	−0.07***	0.71***	0.70***	0.70***	1.00		
(6) <i>CareerOpp</i>	−0.05***	0.81***	0.78***	0.76***	0.61***	1.00	
(7) <i>CompBenef</i>	−0.02***	0.72***	0.68***	0.67***	0.58***	0.71***	1.00

Notes. This table presents descriptive statistics of the Glassdoor ratings. Panel A presents the mean, standard deviation, and median of Glassdoor ratings for private firms, public firms, and the full sample, respectively. *I_Public* is an indicator variable equal to one if the firm is a public firm and zero otherwise. *OverallRating* is an overall rating provided by current employee reviewers. *SeniorMgmt* is a rating of senior management by current employee reviewers. *Culture* is a rating of culture and values by current employee reviewers. *Worklife* is a rating of work-life balance by current employee reviewers. *CareerOpp* is a rating of career opportunities provided by current employee reviewers. *CompBenef* is a rating of compensation and benefits provided by current employee reviewers. Panel B presents the Pearson correlations of a dummy variable for public firms (*I_Public*) and Glassdoor ratings.

*** indicates significance at the 1% levels.

question by estimating the generalized difference-in-differences model detailed in Equation (1).²⁶

Table 4 reports the results of estimating Equation (1). Column (1) presents the estimates for our baseline model without any control variables and with firm and year fixed effects. In column (2), we add control variables. In column (3), we also include state fixed effects, job title fixed effects, and employment length fixed effects. In all three columns, the coefficients on *PostIPO* are negative and statistically significant. This finding suggests that employee ratings decrease after a firm goes public relative to ratings made by employees in the same state and year and with the same job title and employment length but in control firms. In terms of economic significance, employee satisfaction in IPO firms decreases by 5.6% of its standard deviation, which is 0.072 (0.056×1.29), compared with firms in the control group. These effects are comparable to other Glassdoor studies that examine the effects of financial pressure to meet or beat market expectations or reputation news related to tax avoidance information (e.g., Lee et al. 2021, Ji et al. 2022).²⁷ In sum, the evidence in Table 4 suggests that, compared with employees in our control group, employees become less satisfied after their companies go public.

Table 3. Difference of Employee Satisfaction Between Public and Private Firms

	Mean private	Mean public	Difference	Standard error	T-statistic	p-value
OverallRating	3.94	3.74	0.20	0.002	110.19	0.000
SeniorMgmt	3.70	3.36	0.34	0.002	150.94	0.000
Culture	3.93	3.71	0.22	0.002	101.16	0.000
Worklife	3.79	3.55	0.24	0.002	115.40	0.000
CareerOpp	3.75	3.56	0.19	0.002	93.29	0.000
CompBenef	3.67	3.59	0.08	0.002	39.24	0.000

Notes. This table reports univariate descriptive statistics and test of differences of means for Glassdoor employee satisfaction ratings for both public and private firms. *OverallRating* is an overall rating provided by current employee reviewers. *SeniorMgmt* is a rating of senior management by current employee reviewers. *Culture* is a rating of culture and values by current employee reviewers. *Worklife* is a rating of work-life balance by current employee reviewers. *CareerOpp* is a rating of career opportunities provided by current employee reviewers. *CompBenef* is a rating of compensation and benefits provided by current employee reviewers.

Table 4. The Effect of Going Public on Employee Satisfaction

	<i>Sd_OverallRating</i>		
	(1)	(2)	(3)
<i>PostIPO</i>	−0.065*** (0.017)	−0.064*** (0.017)	−0.056*** (0.019)
<i>I_Female</i>		−0.075*** (0.002)	−0.075*** (0.002)
<i>I_Regular</i>		0.011*** (0.002)	0.013*** (0.002)
<i>I_CollegeOrHigher</i>		0.007*** (0.002)	0.002 (0.002)
<i>N</i>	3,714,680	3,714,680	3,546,425
<i>R</i> ²	0.209	0.210	0.247
Firm fixed effects	Yes	Yes	Yes
Year fixed effects	Yes	Yes	Yes
State fixed effects	No	No	Yes
Job title fixed effects	No	No	Yes
Employment length fixed effects	No	No	Yes

Notes. This table reports the effects of becoming a publicly traded company on employee satisfaction ratings. The dependent variable *Sd_OverallRating* is the standardized overall rating, constructed as employee overall rating minus sample mean and then scaled by sample standard deviation. *PostIPO* is an indicator variable that equals one for reviews made after the firm becomes a publicly traded company and zero otherwise. *I_Female* is an indicator variable that equals one for reviews by female employees and zero otherwise. *I_Regular* is an indicator variable that equals one for reviews by full-time employees and zero otherwise. *I_CollegeOrHigher* is an indicator variable that equals one for reviews by employees with college or higher degrees and zero otherwise. All variables are defined in Appendix A. Standard errors are clustered at both the firm and the year levels and are reported in the parentheses.

*** indicates significance at the 1% level.

4.2. Dynamic Effects

To further assess whether our results in Table 4 are driven by the process of becoming a publicly traded firm, we estimate a dynamic difference-in-differences model whereby we compare employee satisfaction in different years around the IPO event:

$$\begin{aligned}
 Sd_OverallRating_{ijt} = & \beta_1 Pre_Y3orEarlier + \beta_2 Pre_Y2 \\
 & + \beta_3 Pre_Y1 + \beta_4 Post_Y1 + \beta_5 Post_Y2 \\
 & + \beta_6 Post_Y3orLater + \sum \beta_n Controls_n \\
 & + \sum Industry\ FE + \sum Time\ FE \\
 & + \sum State\ FE + \sum JobTitle\ FE \\
 & + \sum Employment\ Length\ FE + \eta_{ijt},
 \end{aligned} \quad (2)$$

where *Pre_Y3orEarlier* (*Pre_Y2*, *Pre_Y1*) is an indicator variable that equals one if the review is made by an employee of the IPO firm at least three years (two years, one year) before the IPO year and *Post_Y1* (*Post_Y2*, *Post_Y3orLater*) is an indicator variable that equals one if the review is made by an employee of the IPO firm one year (two years, at least three years) after the IPO

year. All other variables are the same as in Equation (1). Table 5 presents the results. In all specifications, the coefficients on *Pre_Y3orEarlier*, *Pre_Y2*, and *Pre_Y1* are not statistically different from zero, suggesting that, compared with the control group, employee satisfaction for IPO firms in the years before the IPO is not different from that in the IPO year. This finding supports the parallel trend assumption of the difference-in-differences model: that, in the absence of treatment (i.e., IPO), the difference between the treatment and control groups is constant over time. The coefficients on *Post_Y1*, *Post_Y2*, and *Post_Y3orLater* are significantly negative in all columns, implying that, compared with the control group, employee satisfaction for IPO firms in the years after the IPO is persistently lower than in the IPO year.²⁸

Table 5. The Effect of Going Public on Employee Satisfaction: Dynamic Effect

	<i>Sd_OverallRating</i>		
	(1)	(2)	(3)
<i>Pre_Y3orEarlier</i>	0.026 (0.042)	0.026 (0.042)	0.024 (0.044)
<i>Pre_Y2</i>	−0.045 (0.043)	−0.046 (0.043)	−0.059 (0.045)
<i>Pre_Y1</i>	−0.021 (0.033)	−0.022 (0.033)	−0.030 (0.033)
<i>Post_Y1</i>	−0.077*** (0.014)	−0.076*** (0.014)	−0.071*** (0.013)
<i>Post_Y2</i>	−0.069** (0.024)	−0.067** (0.024)	−0.067** (0.025)
<i>Post_Y3orLater</i>	−0.093*** (0.019)	−0.091*** (0.019)	−0.095*** (0.021)
<i>I_Female</i>		−0.075*** (0.008)	−0.075*** (0.007)
<i>I_Regular</i>		(0.014)	(0.010)
<i>I_CollegeOrHigher</i>		0.007 (0.009)	0.002 (0.008)
<i>N</i>	3,714,680	3,714,680	3,546,425
<i>R</i> ²	0.21	0.21	0.25
Firm fixed effects	Yes	Yes	Yes
Year fixed effects	Yes	Yes	Yes
State fixed effects	No	No	Yes
Job title fixed effects	No	No	Yes
Employment length fixed effects	No	No	Yes

Notes. This table reports the dynamic effects of becoming a publicly traded company on employee satisfaction ratings. *Pre_Y3orEarlier*, *Pre_Y2*, and *Pre_Y1* are indicator variables that capture whether the employee review was done three years or longer/two years/one year before the IPO and zero otherwise. Similarly, *Post_Y1*, *Post_Y2*, and *Post_Y3orLater* are indicator variables that capture whether the employee review was done one year, two years, or at least three years after the IPO and zero otherwise. The omitted indicator variable is the IPO year, which serves as the reference point. All variables are defined in Appendix A. Standard errors are clustered at both the firm and the year levels and are reported in parentheses.

** and *** indicates significance at the 5% and 1% levels, respectively.

To visualize the change in employee satisfaction over time before versus after IPOs, we plot the coefficients from Table 5 in Figure 1. As shown in the figure, the overall ratings for one year, two years, and at least three years before the IPO are not statistically different from the overall rating for the IPO year. In contrast, the overall ratings for one year, two years, and at least three years after the IPO are significantly lower than the overall ratings for the IPO year. In total, the findings support our conjecture that IPOs impose a significant regulatory burden on employees, and it persists over time.

One concern with our findings is that IPO firms might inflate their Glassdoor scores right before the IPO date. If this is the case, we should observe a significant spike in employee satisfaction in the pre-IPO years, but we do not find one in Table 5. To further assess this alternative explanation, we zoom in on a shorter window around the IPO event. Specifically, we examine employee satisfaction 12 months before and 12 months after the IPO. As shown in Figure 2, the mean overall rating in each of the 12 months before the IPO is not statistically different from that in the IPO month. In contrast, we observe a downward trend in the overall rating in the 12 months after the IPO. In untabulated analysis, we run a regression of the overall rating on a time trend variable, and the coefficient on this variable is insignificant for the 12 months before the IPO but significantly negative for the 12 months after the IPO. This finding confirms that there is no pretrend of employee satisfaction before IPO events and that employee satisfaction significantly decreases after IPOs. Taken together, the results from Tables 4 and 5 and Figures 1

and 2 suggest that employee satisfaction levels decrease once the firm goes public, and this decrease explains, at least partially, our univariate results that public and private firms have different levels of employee satisfaction. In our next tests, we aim to provide additional evidence that one mechanism through which going public affects employee satisfaction is the regulatory burden of being a publicly traded company (e.g., new compliance requirements, financial reporting pressure, stricter transparency requirements).

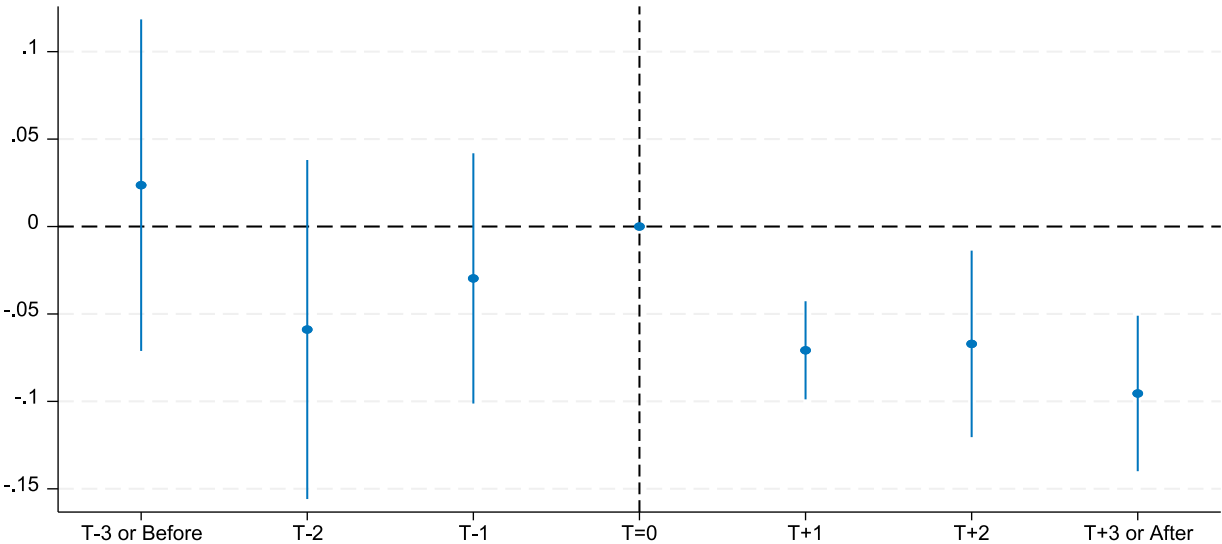
4.3. Cross-Sectional Tests

In this section, we conduct cross-sectional tests based on employee and firm characteristics to examine the circumstances under which the IPOs’ effect on employee satisfaction becomes stronger.

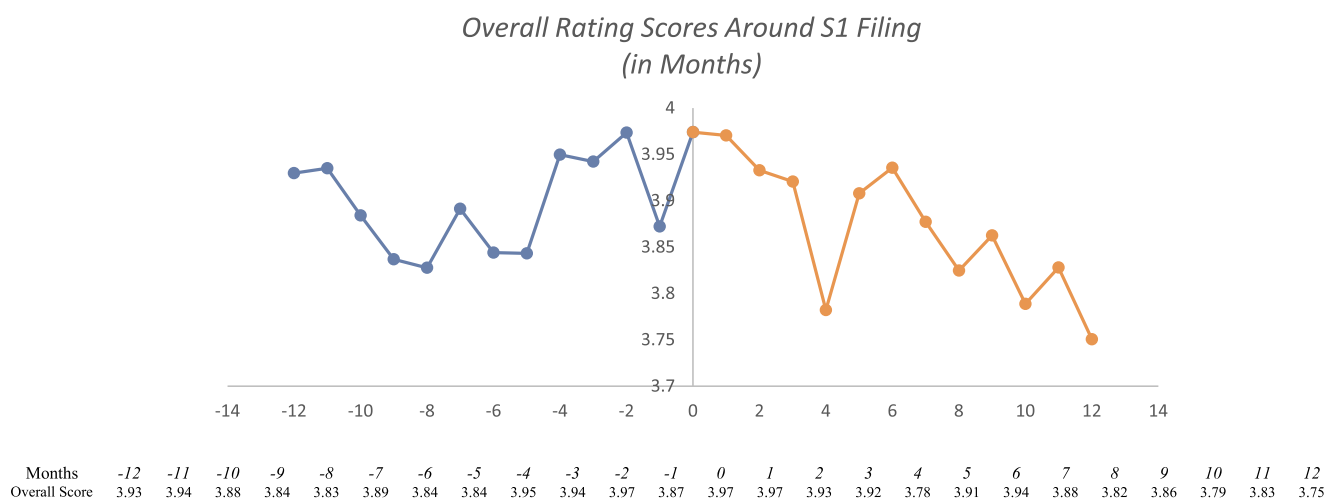
4.3.1. Employee Characteristics. As described in Section 3, our analyses include all reviews made by current employees. To better identify whether the process of going public is driving our results, we leverage the granularity of our data to infer whether the employee reviewer joined the firm before the IPO.²⁹ Employees who were at the firm before the IPO are more likely to experience the changes associated with going public. Thus, by differentiating reviews from employees hired pre- versus post-IPO, we can better attribute the changes in employee satisfaction to potential changes caused by the process of going public.

Accordingly, we construct an indicator variable, *I(Present_At_IPO)*, that is equal to one if the review is by an employee who joined the firm before the IPO and

Figure 1. (Color online) Average Overall Employee Satisfaction Relative to IPO Year



Notes. This figure visualizes the coefficients on *Pre_Y3orEarlier*, *Pre_Y2*, *Pre_Y1*, *Post_Y1*, *Post_Y2*, and *Post_Y3orLater* from Table 5. These coefficients represent the difference in employee satisfaction between at least three years before, two years before, one year before, one year after, two years after, at least three years after the IPO years and the IPO years, respectively, relative to employee satisfaction for control firms. The lines represent the associated 95% confidence interval with each estimated coefficient.

Figure 2. (Color online) Test of Pretrend Before IPO Event

Note. This figure plots the mean overall rating from Glassdoor.com for all IPO firms 12 months before and 12 months after the IPO event.

zero otherwise. Then, we augment the model in Equation (1) by including this new indicator variable and interacting it with our main variable of interest, *Post-IPO*. Note that the main effect of $I(\text{Present_At_IPO})$ is subsumed by the combination of employment length fixed effect and year fixed effects. Table 6, column (1), reports the regression results. The coefficient on *Post-IPO* is insignificant, suggesting that ratings by employees who joined the company after the IPO are not statistically different from the firm's employee reviews before the IPO. More importantly, the coefficient on $\text{PostIPO} \times I(\text{Present_At_IPO})$ is significantly negative, indicating that the effect of an IPO on employee satisfaction is mainly driven by employees who joined the firm before the IPO rather than by those who joined after the IPO. This finding supports our conjecture that the company's process of becoming publicly traded affects employee satisfaction and alleviates the concern that our main results are driven by comparing two different groups of employees before and after IPOs.³⁰

We next explore whether the adverse effect of going public on employee satisfaction is a function of the employee's job position. We conjecture that a higher regulatory burden results in reduced employee satisfaction and that employees in accounting and law functions likely bear more of this burden than others as they are responsible for maintaining the internal control system and preparing financial statements. Similarly, employees in management positions also bear higher regulatory burdens because they are more involved in the regulation compliance and financial reporting processes. Accordingly, we construct an indicator variable, $I(\text{ManagORCompRole})$, that equals one if the review is made by an employee in a management position or working in an accounting or law function and

zero otherwise. We augment Equation (1) by including this indicator variable and interacting it with our main variable of interest, *PostIPO*. The main effect of

Table 6. Cross-Sectional Tests Based on Employee Characteristics

	<i>Sd_OverallRating</i>	
	Present at IPO	Job title
	(1)	(2)
<i>PostIPO</i>	-0.030 (0.020)	-0.052*** (0.019)
$\text{PostIPO} \times I(\text{Present_At_IPO})$	-0.073*** (0.017)	
$\text{PostIPO} \times I(\text{ManagORCompRole})$		-0.091*** (0.010)
<i>N</i>	3,546,425	3,546,425
<i>R</i> ²	0.247	0.247
Controls	Yes	Yes
Main effects	Yes	Yes
Firm fixed effects	Yes	Yes
Year fixed effects	Yes	Yes
State fixed effects	Yes	Yes
Job title fixed effects	Yes	Yes
Employment length fixed effects	Yes	Yes

Notes. This table reports how the effects of becoming a publicly traded company on employee satisfaction vary with employee characteristics. Column (1) tests whether the effects of going public are stronger for employees that were present at the firm during the IPO. Column (2) examines whether the effects of going public are stronger for employees in positions more directly exposed to the process of going public. *PostIPO* is an indicator variable that equals one after the firm goes public and zero otherwise. $I(\text{Present at IPO})$ is an indicator variable that equals one if the employee reviewer joined the company before the IPO and zero otherwise. $I(\text{ManagORCompRole})$ is an indicator variable that equals one if the employee reviewer has a management position or is in an accounting or law position and zero otherwise. All variables are defined in Appendix A. Standard errors are clustered at both the firm and the year levels and are reported in parentheses.

*** indicates significance at the 1% levels.

$I(ManagORCompRole)$ is collinear with our job title fixed effects and, thus, is omitted from the table.

As shown in Table 6, column (2), the coefficient on $PostIPO$ is significantly negative, implying that employees who are not in management positions or in accounting or law functions become less satisfied after IPOs. More importantly, the coefficient on the interaction term is significantly negative, indicating that the effect of IPO on employee satisfaction is greater for employees who are in management roles or in accounting or law functions. In terms of economic magnitude, the job satisfaction for employees in management or compliance-related positions decreases by 14.3% of its standard deviation, which is $0.18 ((0.052 + 0.091) \times 1.29)$, after IPOs. This effect is about 2.5 times the average effect documented in Table 4. Overall, the results suggest that, whereas IPOs negatively affect employee satisfaction for all employees, the effect is particularly strong for the employees who bear more of the regulatory burdens.

4.3.2. Firm Characteristics. Prior literature suggests that the burden to comply with regulations is greater for smaller firms than for larger ones (e.g., Ewens et al. 2024). Therefore, we predict that the negative effect of IPOs on employee satisfaction is greater for smaller firms. Because Glassdoor does not provide time-series data of firm financial information, we use the number of employee reviews for a given year to proxy for firm size. Accordingly, we construct $I(Small)$ as an indicator variable that equals one if the number of employee reviews for the firm in the prior year is below the sample median and zero otherwise. We augment Equation (1) by including the indicator variable $I(Small)$ and an interaction term between $PostIPO$ and $I(Small)$. We omit the coefficient associated with the main effect as it is collinear with our fixed effect structure. Table 7, column (1), reports the regression results. The coefficient on $PostIPO$ is significantly negative, implying that employees in larger companies are less satisfied after IPOs. More importantly, the coefficient on $PostIPO \times I(Small)$ is significantly negative, indicating that the IPOs' effect on employee satisfaction is indeed greater for smaller firms than for larger ones.

We also explore whether the effect of going public varies with the degree to which a firm's compliance and financial reporting are scrutinized, which we proxy with the presence of a Big 4 auditor. We conjecture that Big 4 auditors scrutinize financial reporting and compliance requirements more than non-Big 4 auditors (Lennox 1999, Francis 2004), and this could exacerbate the adverse effects of going public on employee satisfaction. Therefore, we predict a greater effect for firms with Big 4 auditors. Accordingly, we construct $Big4auditor$ as an indicator variable that equals one for firms with a Big 4 auditor during the IPO and zero otherwise. We augment the model in Equation (1) by including the

Table 7. Cross-Sectional Tests Based on Firm Characteristics

	<i>Sd_OverallRating</i>	
	Size	Big4 auditor
	(1)	(2)
<i>PostIPO</i>	−0.050** (0.022)	−0.043* (0.023)
<i>PostIPO</i> × <i>I(Small)</i>	−0.025** (0.011)	
<i>PostIPO</i> × <i>Big4auditor</i>		−0.055* (0.030)
<i>N</i>	3,546,425	3,546,425
<i>R</i> ²	0.247	0.247
Controls	Yes	Yes
Main effects	Yes	Yes
Firm fixed effects	Yes	Yes
Year fixed effects	Yes	Yes
Job title fixed effects	Yes	Yes
State fixed effects	Yes	Yes
Employment length fixed effects	Yes	Yes

Notes. This table reports how the effects of becoming a publicly traded company on employee satisfaction vary with firm characteristics. Column (1) tests whether the effects of going public are stronger for smaller firms. Column (2) examines whether the effects of going public are stronger with a Big 4 auditor. $PostIPO$ is an indicator variable that equals one after the firm goes public and zero otherwise. $I(Small)$ is an indicator variable that equals one if the number of employee reviews for the firm in the prior year is below the sample median and zero otherwise. $Big4auditor$ is an indicator variable that equals one for firms with a Big 4 auditor during the IPO and zero otherwise. All variables are defined in Appendix A. Standard errors are clustered at both the firm and the year levels and are reported in parentheses.

* and ** indicates significance at the 10% and 5% levels, respectively.

indicator variable $Big4auditor$ and interacting it with our main variable of interest, $PostIPO$. The main effect of $Big4auditor$ is subsumed by firm fixed effects.

As shown in Table 7, column (2), the coefficient on $PostIPO$ is significantly negative, implying that IPOs negatively affect employee satisfaction even for companies with non-Big 4 auditors. More importantly, the coefficient on $PostIPO \times Big4auditor$ is significantly negative, indicating that, as expected, the effect of IPOs on employee satisfaction is greater for firms with Big 4 auditors. In terms of economic magnitude, employee satisfaction in IPO firms with a Big 4 auditor decreases by 9.8% of its standard deviation, which is $0.13 ((0.043 + 0.055) \times 1.29)$. This effect is approximately 1.75 times the average effect documented in Table 4.

4.3.3. ESG Reputation Risk and the Impact of IPOs on Employee Satisfaction. We further explore how ESG factors might moderate the adverse impact of going public on employee satisfaction. We conjecture that firms in industries with low ESG reputation risk might have greater resilience (Albuquerque et al. 2020) and could be better equipped to mitigate challenges

associated with going public, such as financial pressure and regulatory burden (Ji et al. 2022). This resilience may stem from preexisting robust governance structures and employee-centric cultures. To test this hypothesis, we use data from RepRisk, a leading provider of ESG data for both public and private firms, to identify industries with high and low ESG risk based on their proprietary reputation risk index score.³¹

As shown in Table 8, we find that firms in industries with a low ESG reputation risk experience a significant mitigation of the negative IPO effect on employee satisfaction. When examining individual ESG components, we find that the social dimension has the strongest moderating effect, whereas the environmental and governance dimensions show no significant impact. In terms of economic magnitude, the employee satisfaction in IPO firms in industries with low social reputation risk decrease by 2.7% of its standard deviation, which is 0.035 $((0.093 - 0.066) \times 1.29)$. This effect is about half the average effect documented in Table 4. These results suggest that the exacerbated adverse effect of going public is concentrated in firms in industries with high social reputation risk. Our findings highlight the potential benefits of strong ESG practices, particularly in the social dimension, in mitigating the challenges associated with the transition to public

ownership. Ultimately, these results suggest that there could be significant variation in the costs of going public with some firms facing smaller adverse effects of becoming a publicly traded company.

4.4. JOBS Act

In this section, we aim to further investigate whether the increased regulatory burden is a main driver of the decrease in employee satisfaction after the IPO. Growing evidence suggests that firms face a significantly greater regulatory burden after they go public (e.g., IPO Task Force 2011, Ewens et al. 2024). The regulatory burden includes not only the time to prepare financial reports and comply with regulations but also any related changes that are needed in the firm's internal controls, chain of command, and communication. Moreover, top executives often rank overregulation as their main fear in doing business (PricewaterhouseCoopers 2020).

To test this mechanism, we explore variations in the regulatory requirements of firms going public across time (e.g., Barth et al. 2017, Pinto 2023). Specifically, we use the JOBS Act of 2012 as a shock to the regulatory costs of being a publicly traded company. This approach is consistent with that of recent studies (e.g., Ewens et al. 2024, figure 5, panel A), which find that the

Table 8. Cross-Sectional Tests Based on Industry-Level ESG Reputation Risk

	<i>Sd_OverallRating</i>			
	(1)	(2)	(3)	(4)
<i>PostIPO</i>	−0.075*** (0.018)	−0.047** (0.021)	−0.093*** (0.017)	−0.086** (0.034)
<i>PostIPO</i> × <i>I(Low ESG Reputation Risk)</i>	0.037*** (0.010)			
<i>PostIPO</i> × <i>I(Low E Risk)</i>		−0.012 (0.031)		
<i>PostIPO</i> × <i>I(Low S Risk)</i>			0.066* (0.034)	
<i>PostIPO</i> × <i>I(Low G Risk)</i>				0.032 (0.039)
<i>N</i>	3,546,425	3,546,425	3,546,425	3,546,425
<i>R</i> ²	0.247	0.247	0.247	0.247
Controls	Yes	Yes	Yes	Yes
Main effects	Yes	Yes	Yes	Yes
Firm fixed effects	Yes	Yes	Yes	Yes
Year fixed effects	Yes	Yes	Yes	Yes
State fixed effects	Yes	Yes	Yes	Yes
Job title fixed effects	Yes	Yes	Yes	Yes
Length of employment fixed effects	Yes	Yes	Yes	Yes

Notes. This table reports the effects of becoming a publicly traded company on employee satisfaction ratings, considering the moderating role of ESG reputation risk. The dependent variable is *Sd_OverallRating*, the standardized overall rating from Glassdoor. *PostIPO* is an indicator variable that equals one for reviews made after the firm becomes a publicly traded company and zero otherwise. *I(Low ESG Reputation Risk)* is an indicator variable for firms in industries with low ESG reputation risk and zero otherwise, for which ESG reputation risk is measured using firm's RepRisk index score from the RepRisk database. *I(Low E Risk)*, *I(Low S Risk)*, and *I(Low G Risk)* are indicators for firms in industries with low environmental, social, and governance reputation risk, respectively, and zero otherwise, for which the environmental, social, and governance reputation risk are calculated using the number of incidents from RepRisk's specific news database. All variables are defined in Appendix A of the draft. Standard errors are clustered at both the firm and the year levels and are reported in parentheses.

*, **, and *** indicates significance at the 10%, 5%, and 1% levels, respectively.

JOBS Act has reduced regulatory costs. Via the JOBS Act, the SEC created a new group of firms, emerging growth companies, that can benefit from reduced requirements for first time equity issuance. If the regulatory burden is a main driver for lower employee satisfaction after IPOs, we expect that the effect of IPOs will be less significant for EGCs than for non-EGCs.

We augment Equation (1) by including an indicator variable, $I(EGC)$, which equals one if the review is for an EGC and zero otherwise, and by interacting this variable with our main variable of interest, $Post_Public$. Following prior studies (e.g., Barth et al. 2017, Pinto 2023), we exclude firms that went public before 2012 but were too large to qualify as EGCs even if they had gone public after 2012. We also exclude IPO firms after 2012 that do not qualify for or adopt the EGC status. These filters ensure that EGCs and non-EGCs in our sample are comparable and are treated differently only because of the passage of the JOBS Act. Furthermore, because EGCs lose their status after five years of being publicly traded, we center our analyses in a five-year window around the IPO date.³²

Table 9 presents the descriptive statistics of Glassdoor ratings for EGCs and non-EGCs. Consistent with our conjecture, the average of all the Glassdoor ratings is higher for EGCs than for non-EGCs. For example, the overall rating for EGCs, 3.708, is much higher than the 3.325 overall rating for non-EGCs. The rating for senior management is 3.427 for EGCs and 3.006 for non-EGCs.

Table 10 reports the regression results. The coefficient on $PostIPO$ is negative in all specifications, suggesting that IPOs have a negative effect on employee satisfaction for non-EGCs. The main effect of $I(EGC)$ is subsumed by firm fixed effects. More importantly, the coefficient on $PostIPO \times I(EGC)$ is significantly positive across all columns, suggesting that the IPOs' negative effect on employee satisfaction is significantly less in EGCs than in non-EGCs. This evidence is consistent with our conjecture that regulatory burden is a critical

mechanism through which employees become less satisfied after IPOs.

4.5. Additional Analyses

We conduct several additional robustness tests using alternative model specifications, dependent variables, standard error clustering methods, and sample selection criteria. First, we construct a binary dependent variable that equals one when the overall rating is above the sample median and zero otherwise. Second, we assess the robustness of our results by clustering our standard errors by state rather than by firm and year. Clustering at the state level allows us to account for potential geographic correlations in employee satisfaction.³³ Third, we exclude firms that remain private throughout our sample period. The key benefit of the last test is that every firm in this sample is either a public firm or eventually becomes publicly traded, which allows us to control for the decision to go public as a potential determinant of employee welfare.³⁴

Table 11 reports the results. Overall, we find robust evidence that IPOs negatively affect employee satisfaction. These results bolster the validity of our main results and confirm that the main results are unlikely to be spurious or driven by particular model specifications.

To further examine the sensitivity of our analyses and to explore the temporal dynamics of the IPO's impact on employee satisfaction, we conduct an additional analysis using multiple time windows around the IPO event. Specifically, we aggregate our data at the firm-month level and examine the impact on overall ratings over 12-, 24-, 48-, and 72-month windows centered on the S-1 filing date, covering 6, 12, 24, and 36 months before and after the filing date. Focusing on windows centered on the IPO event allows us to better isolate the IPO's effect by balancing pre- and post-IPO periods. This approach helps mitigate potential biases from uneven sample periods and allows for a more direct comparison of employee satisfaction before and

Table 9. Descriptive Statistics of Glassdoor Ratings for EGCs and Non-EGCs

	NonEGC			EGC		
	Mean	Standard error	Median	Mean	Standard error	Median
OverallRating	3.325	1.24	3.00	3.708	1.32	4.00
SeniorMgmt	3.006	1.34	3.00	3.427	1.45	4.00
Culture	3.352	1.39	4.00	3.802	1.40	4.00
Worklife	3.344	1.29	3.50	3.601	1.32	4.00
CareerOpp	3.193	1.26	3.00	3.552	1.36	4.00
CompBenef	3.215	1.15	3.00	3.537	1.23	4.00

Notes. This table presents the summary statistics for multiple Glassdoor scores for our JOBS Act tests. EGC represents emerging growth companies, which are companies that benefit from the 2012 JOBS Act by having reduced mandatory disclosure and additional provisions designed to reduce the burden of becoming a publicly traded company. NonEGC represents firms that went public before the JOBS Act was enacted but that would have benefited from the act had their IPOs been after 2012. OverallRating is an overall rating provided by current employee reviewers. SeniorMgmt is a rating of senior management by current employee reviewers. Culture is a rating of culture and values by current employee reviewers. Worklife is a rating of work-life balance by current employee reviewers. CareerOpp is a rating of career opportunities provided by current employee reviewers. CompBenef is a rating of compensation and benefits provided by current employee reviewers.

Table 10. Employee Satisfaction and Regulatory Costs: Evidence from the JOBS Act

	<i>Sd_OverallRating</i>		
	(1)	(2)	(3)
<i>PostIPO</i>	−0.284*** (0.058)	−0.287*** (0.059)	−0.287*** (0.060)
<i>PostIPO</i> × <i>I(EGC)</i>	0.143** (0.066)	0.147** (0.066)	0.129* (0.068)
<i>I_Female</i>		−0.079*** (0.002)	−0.078*** (0.002)
<i>I_Regular</i>		0.024*** (0.002)	0.019*** (0.002)
<i>I_CollegeOrHigher</i>		−0.002 (0.002)	−0.006*** (0.002)
<i>N</i>	2,934,268	2,934,268	2,789,514
<i>R</i> ²	0.23	0.23	0.27
Main effects	Yes	Yes	Yes
Firm fixed effects	Yes	Yes	Yes
Year fixed effects	Yes	Yes	Yes
Job title fixed effects	No	No	Yes
State fixed effects	No	No	Yes
Employment length fixed effects	No	No	Yes

Notes. This table reports the effects of becoming a publicly traded company on employee satisfaction for EGCs and non-EGCs. The dependent variable *Sd_OverallRating* is the standardized overall rating constructed as employee overall rating minus sample mean and then scaled by sample standard deviation. *PostIPO* is an indicator variable that equals one after the firm goes public and zero otherwise. *I(EGC)* is an indicator variable that equals one if the firm was considered an emerging growth companies when it went IPO and zero otherwise. All variables, including control variables, are defined in Appendix A. Standard errors are clustered at both the firm and the year levels and are reported in parentheses.

*, **, and *** indicates significance at the 10%, 5%, and 1% levels, respectively.

after the IPO. We aggregate the observations to firm-month levels to mitigate concerns that our results might be driven by our large sample size. Table 12 presents the results of this analysis.³⁵

Table 11. Robustness Tests: Alternative Model Specifications

	Binary dependent variable	Alternative clustering	Excluding pure private firms
	(1)	(2)	(3)
<i>PostIPO</i>	−0.057*** (0.007)	−0.056*** (0.014)	−0.059** (0.027)
<i>N</i>	3,546,425	3,546,425	532,083
<i>R</i> ²	0.27	0.25	0.17
Controls	Yes	Yes	Yes
Firm fixed effects	Yes	Yes	Yes
Year fixed effects	Yes	Yes	Yes
Job title fixed effects	Yes	Yes	Yes
State fixed effects	Yes	Yes	Yes
Length of employment fixed effects	Yes	Yes	Yes

Notes. This table reports the effects of becoming a publicly traded company on employee satisfaction ratings using alternative model specifications. In column (1), we use the binary dependent variable as our dependent variable instead of the *Sd_OverallRating*. The binary variable equals one when the overall ratings are above the sample median and zero otherwise. In column (2), we cluster the standard errors by state. In column (3), we exclude firms that remain private throughout our sample period. *PostIPO* is an indicator variable that equals one for reviews made after the firm becomes a publicly traded company and zero otherwise. Control variables are the same as in Table 4. All variables, including control variables, are defined in Appendix A. Standard errors are clustered at both the firm and the year levels and are reported in parentheses.

** and *** indicates significance at the 5% and 1% levels, respectively.

We find that the negative impact of an IPO on employee job satisfaction is evident as early as six months after the S-1 filing, aligning with typical IPO timelines. Importantly, this adverse effect intensifies as we extend the analysis to longer time periods. The coefficient for *PostIPO* appears to increase in magnitude from -0.034 ($p < 0.1$) for the six-month window to -0.078 ($p < 0.01$) for the 36-month window. This pattern suggests that the challenges associated with public status, such as increased regulatory requirements and financial reporting pressures, have a lasting and potentially cumulative effect on employee satisfaction. These findings not only reinforce our main results but also highlight the long-term implications of transitioning to public ownership on workforce sentiment.

In untabulated analysis, we estimate an entropy-balanced regression for our main tests. In this regression, we reweight the observations of public and private companies to have similar sizes, which is proxied by the number of reviews (in the prior year) provided by Glassdoor. Our results are robust. We also find similar results when we do a propensity score matching in which we require the reviews to come from firms that are in the same industry and have a similar number of reviews.

Baker et al. (2022) suggest that staggered difference-in-difference treatment effect estimates could be biased if the treatment effects change over time or are heterogeneous. We conduct two alternative estimators suggested by Baker et al. (2022): Callaway and Sant'Anna (2021) and stacked difference-in-differences. Additionally, we utilize two-stage difference-in-differences (Gardner 2022), which could also potentially circumvent the limitation in the staggered difference-in-differences method. Untabulated results show that our findings are robust to these alternative specifications.

To address potential concerns about the time distribution of our sample, we conduct several additional

Table 12. Firm-Month Regressions Centered on the IPO Event

	Sd_OverallRating			
	Six months around the IPO	Twelve months around the IPO	Twenty-four months around the IPO	Thirty-six months around the IPO
	(1)	(2)	(3)	(4)
PostIPO	−0.034* (0.018)	−0.058*** (0.014)	−0.070*** (0.012)	−0.078*** (0.012)
N	1,516,047	1,518,830	1,523,935	1,527,937
R ²	0.294	0.294	0.294	0.294
Firm fixed effects	Yes	Yes	Yes	Yes
Year fixed effects	Yes	Yes	Yes	Yes

Notes. This table reports the effects of becoming a publicly traded company on employee satisfaction ratings across different time windows centered around the IPO event. The dependent variable is the overall rating aggregated at the firm-month level. Columns (1)–(4) present results for 6, 12, 24, and 36 months before and after the S-1 filing date, respectively. *PostIPO* is an indicator variable that equals one for reviews made after the firm becomes a publicly traded company and zero otherwise. All models include firm and year fixed effects. Standard errors are clustered at both the firm and year levels and are reported in parentheses. All variables are defined in Appendix A.

* and *** indicates significance at the 10% and 1% levels, respectively.

tests (untabulated for brevity). First, we exclude reviews from 2008, which has fewer observations than other years, and find our results remain consistent. We extend this analysis by also excluding reviews from 2009 and 2010, again finding similar results with the *PostIPO* coefficient remaining negative and significant. Additionally, to account for potential time trends not captured by our year fixed effects, we incorporate year-month and year-week time scalars as additional controls in our models. In both cases, the coefficient of *PostIPO* remains negative and statistically significant. Finally, we find similar results if we delete observations after 2019, which mitigates concerns that our results may be driven by COVID-19. These findings collectively suggest that our main results are robust to different sample periods and are not driven by time-specific trends in the data.

As a final test, we examine whether firms going from public to private experience increased employee satisfaction as their employees are likely to face a decreased regulatory burden. Using the staggered difference-in-differences method in a setting of leveraged buyout firms, we find that employee satisfaction significantly increases after firms go private compared with a control group of firms that stay public throughout our sample period.

5. Conclusion

In this study, we explore how becoming a publicly traded firm affects employee satisfaction measured by employee ratings from Glassdoor. Examining a rich data set of employee-level observations of employee satisfaction before and after the firm’s IPO, we find that going public has a significantly negative effect on overall employee satisfaction ratings. Exploring time-series variation in the cost of going public and cross-sectional variation in our data, we find evidence that higher regulatory costs for publicly traded companies are likely a central mechanism

in why employees become unhappier. We find similar results across most of the Glassdoor component ratings we consider, suggesting that the observed declines are not spurious or unique to one dimension. These results suggest that regulatory costs impose a significant burden on human capital with potentially severe consequences for firms’ cultures and overall employee welfare. Given that culture and employee welfare play central roles in value creation, innovation, and growth, these results should be of interest to regulators, firms, and employees.

Our results also provide insights into the effect of the JOBS Act. Prior studies on the act’s consequences almost exclusively document the costs associated with reduced mandatory disclosure requirements (Barth et al. 2017, Chaplinsky et al. 2017). We find that, by relaxing several disclosure and regulatory requirements, the JOBS Act mitigates the negative effect of going public on employee welfare and corporate culture.

Our study has several limitations. First, Glassdoor reviews are voluntary and may not be fully representative of all employees. Second, we focus solely on regulatory costs as a mechanism for declining employee satisfaction post-IPO, leaving other factors unexplored. Third, despite our efforts to mitigate endogeneity concerns, correlated omitted variables could affect both IPO decisions and employee satisfaction. Finally, the observed decline in satisfaction does not necessarily mean companies should avoid going public as firms must weigh this potential cost against the benefits of increased capital access and visibility. These caveats should be considered when interpreting our results, and future research could explore additional mechanisms and benefits of IPOs.

Acknowledgments

The authors appreciate helpful feedback and comments from Stanimir Markov, Yuan Zhang, Ying Julie Huang, Boochun

Jang, Yuan Ji, Wei Wang, Xiaoli Tian, Hangu Chen, Boaz Noiman, Matteo Binfare, Eva Labro, and Carol Soschinski as well as workshop participants at the 2023 Hawaii Accounting Research

Conference and 2024 American Accounting Association Annual Meeting. The authors also thank Glassdoor Inc. for sharing its data. Any remaining errors are the authors' own.

Appendix A. Variable Definitions

<i>OverallRating</i>	Overall rating for a given review on Glassdoor.com. Data source: Glassdoor Inc.
<i>Sd_OverallRating</i>	Standardized overall employee satisfaction is calculated as the <i>OverallRating</i> minus sample mean and then scaled by sample standard deviation.
<i>I_Public</i>	An indicator variable equal to one if the firm is a public firm, zero otherwise. Data source: Glassdoor Inc. and Compustat.
<i>PostIPO</i>	An indicator variable equal to one for reviews posted on Glassdoor.com after a firm goes public and zero otherwise. We use S-1 filing dates from Audit Analytics as our proxy for the IPO date. Whenever the S-1 filing date is missing, we use the IPO dates from Compustat. Data source: Audit Analytics and Compustat.
<i>EGC</i>	EGC is a firm that benefits from the provisions of the 2012 JOBS Act and faces fewer requirements when going public. Data source: Audit Analytics and hand-collected.
<i>SeniorMgmt</i>	Employee satisfaction score of senior management for a given review on Glassdoor.com. Data source: Glassdoor Inc.
<i>Culture</i>	Culture score for a given review on Glassdoor.com. Data source: Glassdoor Inc.
<i>Worklife</i>	Work–life balance score for a given review on Glassdoor.com. Data source: Glassdoor Inc.
<i>CareerOpp</i>	Career opportunities score for a given review on Glassdoor.com. Data source: Glassdoor Inc.
<i>CompBenef</i>	Compensation and benefits score for a given review on Glassdoor.com. Data source: Glassdoor Inc.
<i>I_Female</i>	An indicator variable equal to one for reviews provided by female employees, zero otherwise. Data source: Glassdoor Inc.
<i>I_Regular</i>	An indicator variable equal to one for reviews provided by full-time employees, zero otherwise. Data source: Glassdoor Inc.
<i>I_CollegeOrHigher</i>	An indicator variable equal to one for reviews provided by employees that have college education or higher and zero otherwise. Data source: Glassdoor Inc.

Appendix B. Research Design Illustration

This appendix illustrates the research design discussed in Section 3.3, Equation (1). We use the exact date that the firm goes public to estimate a generalized difference-in-difference model at the review level.

	2008	2009	2010	2011	2012	...
Firm A (Public Firm)	Public	Public	Public	Public	Public	
Firm B (IPO Firm)	Private	Private	Public	Public	Public	
Firm C (IPO Firm)	Private	Private	Private	Public	Public	
Firm D (IPO Firm)	Private	Private	Private	Private	Public	
Firm E (Private Firm)	Private	Private	Private	Private	Private	

Endnotes

- ¹ C-suite Challenge 2019: The Future-Ready Organization survey report. Available at <https://www.conference-board.org/publications/publicationdetail.cfm?publicationid=8352>.
- ² Ewens et al. (2024) estimate that a median firm spends up to 4.1% of its market capitalization on compliance.
- ³ Further illustrating this point, in a comment letter to the SEC, Morgenstern and Nealis (2004, p. 1) write that “The mounting financial, disclosure, and corporate governance costs of remaining public in today’s regulatory environment, exacerbated by the Sarbanes-Oxley Act of 2002 (“Sarbanes-Oxley” or the “Act”), are causing many companies to question the value of being public.”
- ⁴ See <https://www.wsj.com/articles/SB107636732884524922>.
- ⁵ See <https://www.foxbusiness.com/features/facebooks-overnight-millionaires-begin-lavish-spending-spree>.
- ⁶ See <https://stockanalysis.com/stocks/zm/employees/>.
- ⁷ See <https://www.wsj.com/articles/snap-employees-celebrate-ipo-behind-closed-doors-1488505356>.
- ⁸ Guiso et al. (2015) use a small sample of a few hundred firm-year observations and find that public firms have worse cultures than private firms as reflected in employee perceptions of lower managerial integrity and lower managerial ethics. The Guiso et al. (2015) sample comprises 385 public firms and 294 private firms. Importantly, Guiso et al. (2015) do not compare the same company before and after it goes public.
- ⁹ For example, in our data, we observe reviews for employees that work at Wells Fargo across multiple states, years, job positions, and employment lengths. This allows us to estimate models that include not only firm fixed effects but also state, job title, and employment length fixed effects. We thank an anonymous reviewer for this suggestion.
- ¹⁰ We use “generalized difference-in-differences model” and “staggered difference-in-differences model” interchangeably.
- ¹¹ Firms that engage in an IPO prior to our sample period are considered always treated and are, therefore, included in the treatment group.
- ¹² Please refer to Appendix B for a visual representation of our research design.
- ¹³ We find similar results if we restrict our sample by (i) deleting firms that remain private throughout our sample, (ii) deleting firms that engage in an IPO before our sample period starts, or (iii) deleting firms in both conditions (i) and (ii) and focusing only on firms that engage in an IPO during our sample period.
- ¹⁴ Specifically, the JOBS Act allows firms to benefit from several provisions. For instance, they can delay compliance with SOX 404(b), which requires an internal control audit; disclose two instead of three years of audited financial statements; provide reduced disclosure of executive compensation; test the waters, which allows them to engage with accredited investors before or after their first registration statement; and confidentially file their registration statement with the SEC.
- ¹⁵ Users of Glassdoor also share information on compensation and benefits and job interviews.
- ¹⁶ Most Glassdoor users only post one review on the platform; about 10% of our sample post multiple reviews.
- ¹⁷ Employees may also derive utility from sharing their views or participating in sweepstakes. Under its contribute-and-win policy, Glassdoor gives small rewards to randomly chosen reviewers.
- ¹⁸ Anecdotal evidence suggests that job seekers use Glassdoor reviews to screen out bad employers, and companies use Glassdoor reviews to design HR policies and make acquisition decisions

(Demers 2020, Fuhrmans 2017). This reassures us that the reviews represent employee views.

¹⁹ See <https://site.warrington.ufl.edu/ritter/ipo-data/>.

²⁰ Consistent with Roberts and Whited (2013) and Blankespoor et al. (2018), we use the term “difference-in-differences” simply to describe a model that compares trends in a dependent variable between different groups of treatment and nontreatment firms. We do not use difference-in-differences to imply that the treatment is random.

²¹ Our results are robust if we use unstandardized overall ratings as the dependent variable.

²² Appendix B illustrates the treatment group and control groups for our research design.

²³ Our results remain when the indicator variable for female employees is excluded from the regression.

²⁴ We cannot include controls for firm-level characteristics because Glassdoor does not provide time-series financial information for private firms.

²⁵ For employment length, reviewers on Glassdoor can choose less than 1 year, 1 to 2 years, 3 to 4 years, 5 to 7 years, 8 to 10 years, or more than 10 years.

²⁶ We include all the reviews for a firm post-IPO in the treatment group as long as these reviews are available in our sample period. In an untabulated analysis, we include reviews for IPO firms up to 12 quarters after the IPO event date. Our results are robust.

²⁷ In later tests, we further show that the effects of an IPO on employee satisfaction are larger for certain types of employees with the magnitudes being comparable to declines associated with financial misconduct revelations (Teoh et al. 2023).

²⁸ We also conduct additional tests using shorter windows or different levels of aggregation (month or quarter centered around the IPO event) and find similar results. We discuss several of these tests in the robustness section.

²⁹ Specifically, note that our post-IPO reviews include ones made both by employees who joined before and employees who joined after IPOs. It is important, therefore, to explore which employee group drives our results. If we found that the effect was driven by employees who joined after IPOs, this would raise the concern that we did not compare the same group of employees before and after IPOs.

³⁰ Untabulated analysis shows that the impact of IPOs on employee satisfaction is greater for long-term employees (defined as employees with employment length longer than the sample median). This finding suggests that employees who have worked longer for the company are more likely to identify with their companies and feel more strongly about the impact of IPOs.

³¹ Previous literature shows that a firm’s ESG reputation risk index comoves with their industry peers (e.g., Xi et al. 2024).

³² EGCs might lose their EGC status for multiple reasons other than time. For example, an EGC can lose its status (i) if it becomes a large accelerated filer, (ii) if it has issued more than \$1 billion in nonconvertible debt in the past three years, or (iii) if its total annual gross revenues exceed \$1 billion. Prior research shows that most EGCs lose their status because of the passage of time (Pinto 2023).

³³ In untabulated analyses, we also repeat our analyses clustering at the reviewer level and at the job level and find similar inferences.

³⁴ We also estimate negative binomial regression as an alternative specification and find similar results.

³⁵ We also repeat our main analysis at the firm-quarter level by aggregating overall ratings at the mean and median of each firm-quarter and find similar results (untabulated for brevity). Furthermore, we repeat our dynamic difference-in-differences test with firm-quarter-level observations. Our inference remains the same.

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